



Economics

International Trade

KRISHAN RATHNAYAKE

GCE ADVANCED LEVEL ENGLISH MEDIUM

protectionism

Any kind of activity which prevents or stops entering of foreign products in to the domestic market is known as protectionism.

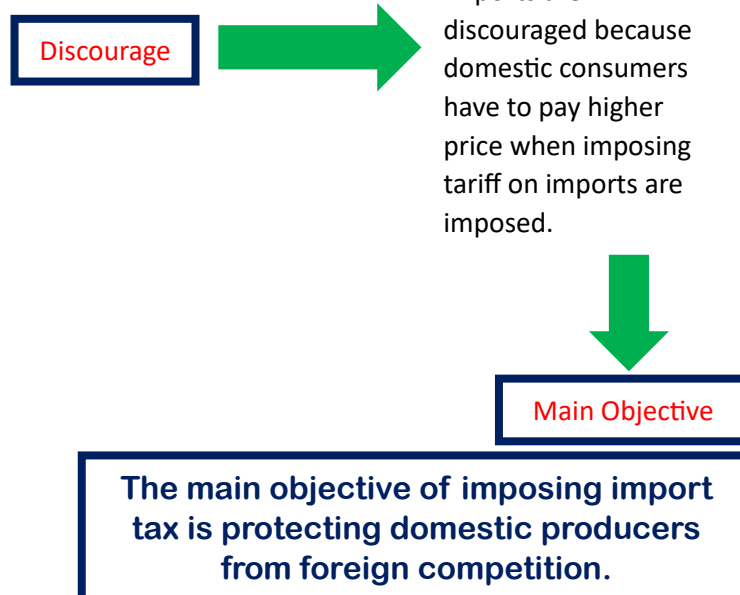
Protectionism refers to government policies that restrict international trade to help domestic industries. Protectionist policies are usually implemented with the goal to improve economic activity within a domestic economy but can also be implemented for safety or quality concerns.

Protectionist activities which prevent to free trade can be divided in to two types.

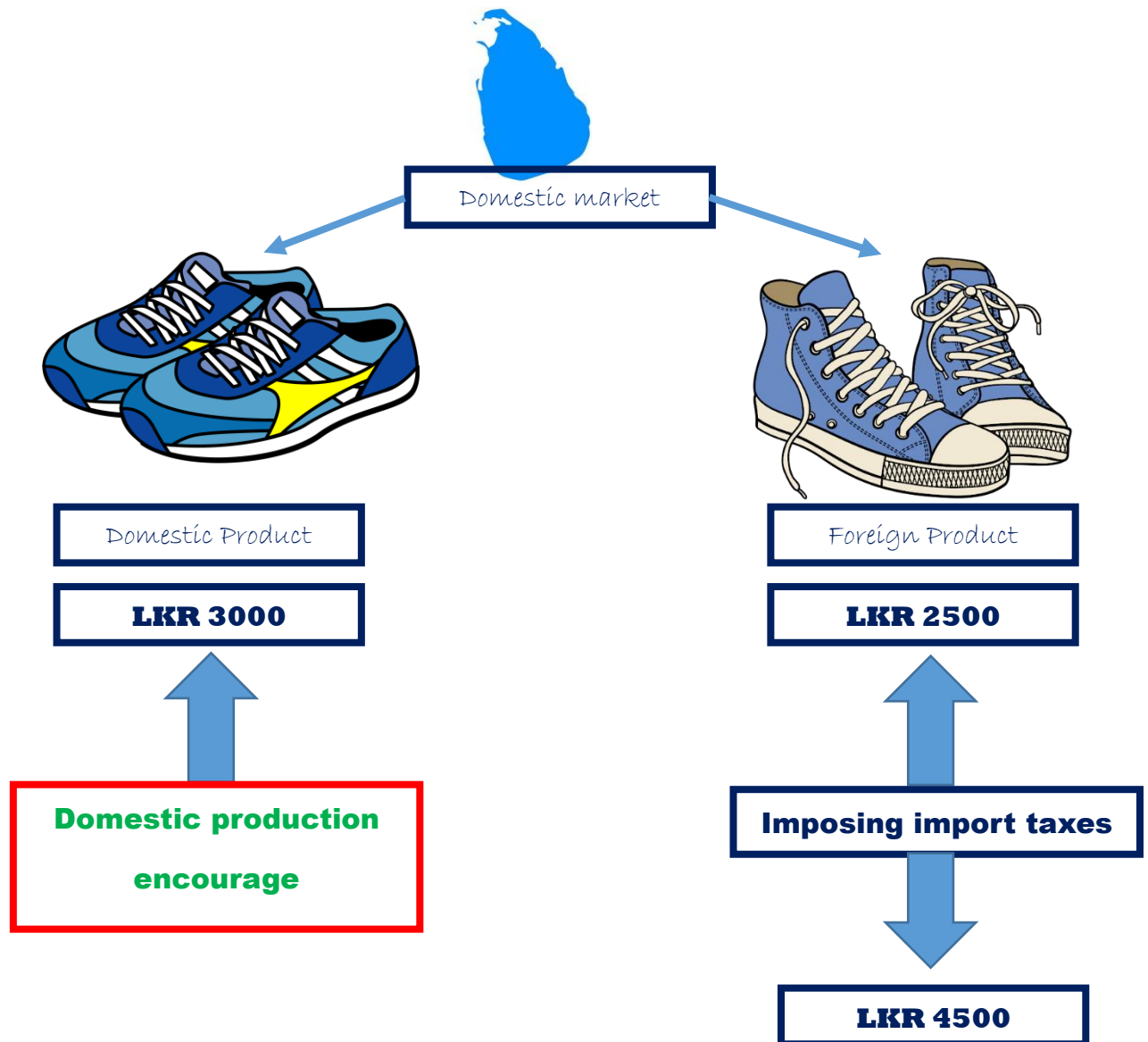
1. Tariff protectionism
2. Non – tariff barriers

1. Tariff protectionism

Tariff protectionism refers to imposing tariff on import and export.



When imposing import taxes over imported goods as consumers attract to domestic product the domestic production of the good expanded.



Nominal rate of protection

The nominal rate of protection is the percentage tariff imposed on a product as it enters the country.

For example, if a tariff of 20 percent of value is collected on clothing as it enters the country, then the nominal rate of protection is that same 20 percent.

As a result of increasing import tariff the protection received by the good by with the increased price of imported good is known as nominal rate of protection. By

nominal rate of protection the price of domestic producer presented as a percentage of domestic price of the imported product. The rate of nominal protection does not depict the actual amount protection received by the domestic product.

The nominal tariff rate imposed according to the value of final product imported. But domestic producers use imported inputs and so many intermediate goods for their production process

Effective rate of protection

When tariff are imposed on input and intermediate products nominal rate of protection calculated according to nominal tariff rate does not depict the accrual protection received by the domestic producer..

Because of that, to measure the actual amount of protection received by the domestic producer by the imposition of tariff adapt a effective rate of protection is used..

$$ERP = \frac{(V_1 - V_0)}{V_0} \times 100$$

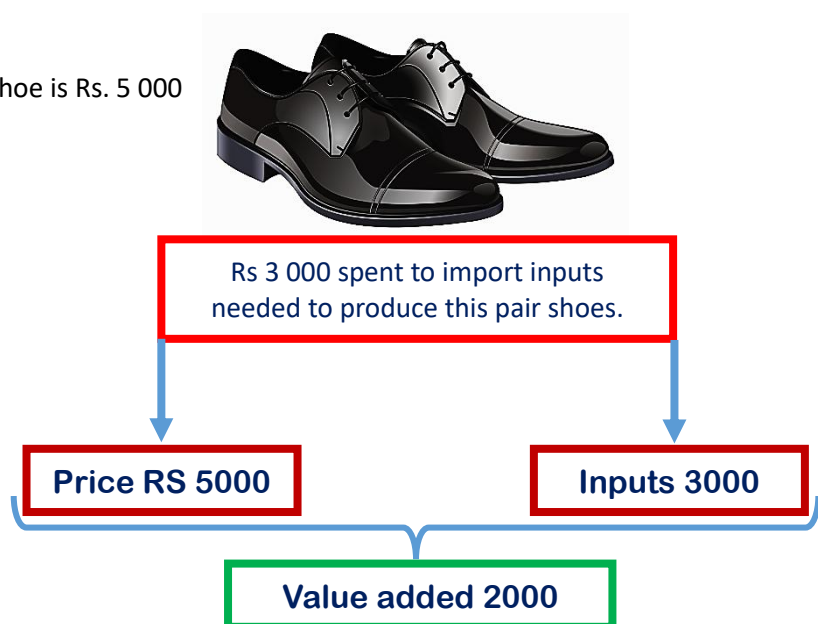
ERP = Effective Rate of Protection

V_i = Value added of the domestic producer after the tariff

V_o = Value added of the domestic producer before the tariff

EX-

Assume that the price of pair of shoe is Rs. 5 000



Then the domestic value added of the good is Rs. 2000 (5 000 – 3000).

Assume that same pair of shoe selling at the same price at the world market.

Accordingly if the domestic value added of the firm is more than to Rs. 2 000, then the price of domestic shoe will be more than Rs. 5 000, because of that domestic product can not completion with the imported good.

So, we think, to protect the domestic producer if a tariff as of 10% is imposed on imported production. Then price of imported good changed as below.

The price of pair of shoes before tariff = 5 000

The cost for the tariff = 5000 × 10

100

After tariff the price of imported pair of shoes = Rs. 5 500

After tariff price of the imported pair of shoes = Rs. 5 500

After tariff value added of the domestic production firm = 5 500 - 3 000

=2500

Accordingly effective rate of protection can be calculated as follow.

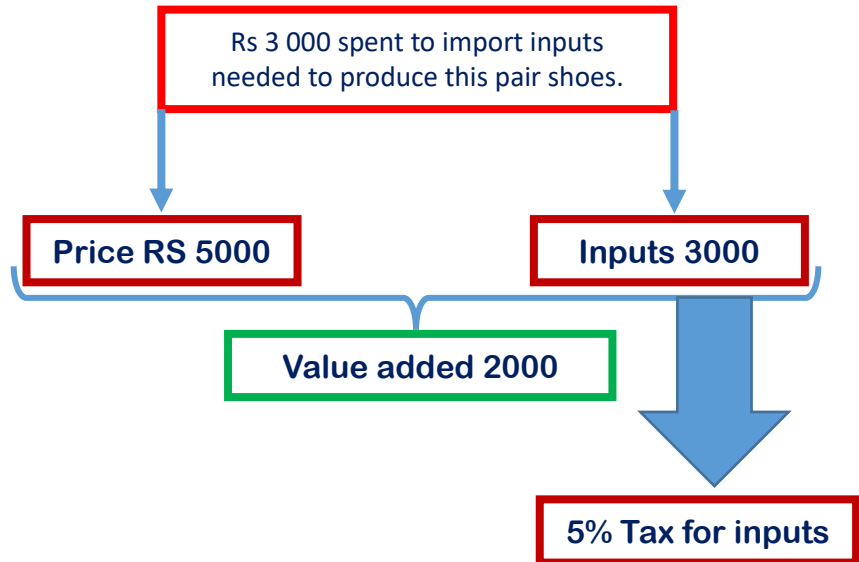
$$\begin{aligned} ERP &= \frac{(V_1 - V_0)}{V_0} \times 100 \\ &= \frac{2500 - 2000}{2000} \times 100 \\ &= \underline{\underline{25\%}} \end{aligned}$$

Example 2

According to the above example, 10% tariff is imposed for importing pair of shoes.

Assume that imposing a 5% tariff is imposed on import inputs.

Assume that the price of pair of shoe is Rs. 5 000



Then the domestic value added and value of the imported shoe would be changed.

Value of imported inputs before tariff = Rs. 3000

$$\begin{aligned}
 \text{The value of inputs after tariff} &= \text{Rs. } 3000 \times \frac{5}{100} \\
 &= 150 \\
 &= \text{Rs. } 3000 + 150 \\
 &= 3150
 \end{aligned}$$

Domestic value added after tariff = 5 500 – 3150 = 2350

$$\begin{aligned}
 ERP &= \frac{V_1 - V_0}{V_0} \times 100 \\
 &= \frac{2350 - 2000}{2000} \times 100 \\
 \text{Effective rate of protection} &= 17.5\%
 \end{aligned}$$

Apart from imposing taxes over the final product as tariffs are imposed on imported inputs the ERP is decreased by 7.5.

The effective rate of protection can have a higher value based on the following conditions while other determinants remain constant.

1. Nominal tariff rate imposed on final production being a higher value.
2. Tariff rate on imported inputs being higher value

3. The percentage of import imposed inputs being higher value

Non tariff barriers

Approaches used for protection except import and export tariffs are called non tariff barriers

1. Imposing rationing or deciding a quota
2. Providing subsidies or incentives for producers
3. Dumping
4. Limiting the exports voluntarily
5. Controlling the foreign exchange
6. Imposing rationing for limitation of export and imports
7. Imposing trade embargoes
8. Imposing standards of administration and technological standards

Foreign investments

A foreign direct investment is an investment in the form of a controlling ownership in a business in one country by an entity based in another country. It was introduced by government. It is thus distinguished from a foreign portfolio investment by a notion of direct control

A country, institution or a person purchases financial assets of another country or purchasing more shares of an existing firm to establish new firms is known as foreign investments.

- Foreign investments can be described under two main headings.

• Foreign direct investments

• Portfolio investments

• Foreign direct investments

Acquiring of productive real assets of a foreign country with an expectation of a particular benefit is known as foreign direct investments.

Example :

Acquiring of assets such as factories,
lands by foreign investors.

When estimating the value of foreign direct investments of a particular year both inflows and outflows of capital are being considered.

Recent trends related to foreign direct

- Foreign direct investments over the past few years remained at a lower level than expected.
- Investments remained at a lower level due to loss of faith of investors regarding political instability.
- As interest rate shows an increment during recent years it severely affected over Sri Lanka and other emerging economies.
- Foreign direct investments are mainly directed towards projects such as land development, tourism and telecommunication.
- Those investments mainly came from Hong Kong, Mursi Island, The Netherlands, China and from India'

Favourable and unfavourable effects of foreign direct investments

- Improving efficiency of resource allocation due to strengthening of international factor mobility.
- Ability to fulfill resources gap (saving - investments) due to inflow of an extra capital flow.
- Ability to fulfill foreign exchange gap (Import export gap)
- Provides an answer for balance of payments deficit
- Non increase of debt burden
- Ability to gain new technology and management

- Outflow of huge amount of money as dividends and interest
- Unfavorably affects over domestic economic activities
- Loss of employment opportunities due to the use of capital intensive production techniques.
- Over consumption of natural resources.
- Collapse of domestic industries.
- Non receiving of tax revenue to the government as expected.
- Outflow of money which existed for domestic investors towards foreign businesses
- Outflow of talented workers (should provide knowledge to students related to information and trends of foreign direct investments with the use of central bank annual report)

Portfolio investments

Purchasing of money market instruments such as shares, securities and commercial papers of another country by foreign investors with an expectation of receiving a financial benefit is known as portfolio investments. With portfolio investments the ownership, control or the management of a business will not be received by the foreign investors.

Recent trends of portfolio investments can be presented as follows.

- Recently investments towards shares showed a decline
- The reason for this decline is the political instability prevails within the country.
- The continuous instability situation at the share market discouraged investors in investing.

Deference between Direct and Portfolio investment

What is Foreign Investment?

A: Foreign Direct Investment

A company buying or building a factory in another country



B: Foreign Portfolio Investment

Buying stocks and bonds from another country



World101

practical FDI background

[illegible]

This image shows a full page of blank handwriting practice paper. It features approximately 20 evenly spaced horizontal black lines across the entire width of the page, providing a guide for letter height and placement. The background is plain white, and there are no margins, text, or other markings present.

[illegible]